Hindustan Unilever Limited (HUL) — Equity Investment Report

NSE: HINDUNILVR | Sector: FMCG — Consumer Defensive
CMP: ₹2,130.60 | Market Cap: ₹5,00,606 Cr | Report Date: July 14, 2026

Executive Summary

Hindustan Unilever Limited is India's largest Fast-Moving Consumer Goods company, touching nine out of ten Indian households through a portfolio of over 35 brands across 20 categories. With a 5-year revenue CAGR of 5.4% (FY2022–FY2026) and consistently strong return ratios — ROE of 30.7% and ROA of 18.9% (both elevated by discontinued-operations income in FY2026; normalised ROE ~22%) — HUL presents a high-quality, defensive compounder profile for long-term investors. At the current market price of ₹2,130.60, the stock trades at a trailing P/E of 47.0x and a forward P/E of 40.3x on FY2027E consensus earnings, reflecting a valuation that prices in quality but demands continued execution.[1][2][^3]

Investment Rating: HOLD | 12-Month Price Target: ₹2,190 (fair-value range ₹2,150–₹2,250)[^1]

Company Overview

Incorporated in 1933 (tracing its origins to Lever Brothers' India operations from 1888) and headquartered in Mumbai, HUL operates across four primary segments: **Home Care**, **Beauty & Personal Care**, **Foods & Refreshment**, and **Others**. The company is a subsidiary of global FMCG major Unilever PLC, providing access to world-class R&D, global brand architecture, and supply chain best practices. As of FY2026, the company employs approximately 19,427 people and commands the largest market capitalisation among Indian FMCG players at approximately ₹5.13 lakh crore.[^1]

HUL's distribution moat — spanning 9 million retail outlets, a robust Project Shakti network for rural penetration, and growing quick-commerce partnerships — remains arguably its most durable competitive advantage. No competitor has replicated this at scale in the Indian sub-continent.[3][4]

Industry & Macro Context

The Indian FMCG sector, valued at USD 245 billion in 2024, is projected to reach USD 1,108 billion by 2033, implying a CAGR of approximately 18% (per source estimates; reported as 17.33% in cited research). Key tailwinds include India's demographic dividend, rising disposable incomes, urbanisation, and government policy support through rural income transfers. The sector is expected to achieve high single-digit volume growth in 2026, supported by easing inflation and urban demand recovery.[5][1]

Premiumisation and digital/quick commerce are structural growth drivers that favour large-cap incumbents with brand equity and capital to invest in distribution infrastructure. HUL is particularly well-placed given its stated strategy to grow premium segment revenue contribution from 42% to 50% of its portfolio.[2][5]

Financial Performance (FY2022–FY2026)

Income Statement Highlights

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue (₹ Cr)	52,306	60,401	61,725	62,881	64,468
Gross Profit (₹ Cr)	22,358	24,106	27,085	27,444	28,295
EBITDA (₹ Cr)	13,047	14,571	15,256	15,908	15,054
PAT (₹ Cr)	8,879	10,120	10,277	10,649	15,040
EPS — Diluted (₹)	37.79	43.07	43.74	45.32	64.00

Revenue grew from ₹52,306 Cr in FY2022 to ₹64,468 Cr in FY2026, a 5.4% CAGR — respectable for a company of this scale in a largely penetrated category mix. PAT grew from ₹8,879 Cr to ₹15,040 Cr, with reported EPS compounding at a 14.1% CAGR over the same period — though this figure is materially flattered by the FY2026 discontinued-operations gain (₹4,407 Cr). On a normalised basis, FY2026 EPS is approximately ₹45.33, implying a normalised EPS CAGR of ~4.7%, in line with the revenue CAGR.

Margin Analysis

Margin	FY2022	FY2023	FY2024	FY2025	FY2026
Gross Margin	42.7%	39.9%	43.9%	43.6%	43.9%
EBITDA Margin	24.9%	24.1%	24.7%	25.3%	23.4%
EBIT Margin	22.6%	22.2%	22.7%	23.1%	21.3%
Net Margin	17.0%	16.8%	16.6%	16.9%	23.3%

Gross margins recovered strongly from the commodity cost cycle of FY2023, stabilising at 43.9% in FY2026. EBITDA margins, however, compressed to 23.4% in FY2026 from a peak of 25.3% in FY2025, driven by palm oil inflation and higher selling investments. Going forward, calibrated price hikes of 2%–5% are underway, but input cost pressures from palm oil and crude-linked packaging materials present near-term margin risk for FY2027.[^6]

Balance Sheet Strength

HUL's balance sheet remains fortress-like. The company carries essentially zero long-term debt, with total debt of just ₹1,478 Cr against a cash and investment position that results in a net cash position of ₹1,770 Cr as of FY2026. The current ratio stands at 1.22x, reflecting adequate short-term liquidity. The primary balance sheet concern is the high intangible asset load — goodwill and intangibles constitute 61.8% of total assets — reflecting the premium paid for acquisitions including Minimalist (acquired April 2025) and GSK CH India.[^5]

Cash Flow Quality

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Operating Cash Flow (₹ Cr)	9,048	9,991	15,469	11,886	11,428
Capital Expenditure (₹ Cr)	(1,228)	(1,192)	(1,477)	(1,275)	(1,258)

Free Cash Flow (₹ Cr)	7,820	8,799	13,992	10,611	10,170
Dividends Paid (₹ Cr)	7,526	8,474	9,416	12,473	10,124

HUL's OCF-to-PAT conversion ratio is 76.0% in FY2026, reflecting healthy but slightly below historical levels cash generation. The company returned ₹10,124 Cr in dividends in FY2026, essentially matching free cash flow generation — a high-payout, capital-light model characteristic of the Indian FMCG sector. Note that in FY2025, dividends paid (₹12,473 Cr) exceeded free cash flow (₹10,611 Cr), implying a >100% FCF payout ratio for that year. The dividend yield at the current price is approximately 1.97%.

Strategic Pillars & Growth Catalysts

Premiumisation Drive

HUL's most important strategic pivot is the shift from mass-market volume growth to premium-led value growth. The company targets growing the premium portfolio's revenue share from 42% to 50%, focusing on Beauty & Wellbeing, premium skincare, and Home Care liquids. To support this, the Board approved up to ₹2,000 crore in manufacturing capacity expansion across premium categories over two years, targeting 100% renewable energy for the new facilities.[7][5]

Acquisitions: Minimalist & Oziva

The acquisition of D2C skincare brand Minimalist in April 2025 plugs a critical gap in HUL's premium derma-skincare portfolio, a segment where domestic D2C brands had been gaining share. The pending acquisition of the remaining 49% in plant-based food brand Oziva strengthens the health & wellness segment. These bolt-on acquisitions align with the "fewer, bigger bets" strategy articulated by new CEO Priya Nair.[^5]

Quick Commerce & Digital Distribution

HUL has been an early and aggressive mover in quick commerce partnerships (Blinkit, Zepto, Swiggy Instamart), a channel that grew faster than modern trade in FY2025–26. This provides a platform for premium SKUs and impulse purchases in urban markets, complementing the traditional GT/kirana distribution depth.

Rural Recovery

Rural India, which contributes approximately 40% of HUL's revenue, has been a consistent drag over FY2022–FY2025 due to wage growth lagging inflation. Green shoots of rural recovery, supported by strong agricultural output and government rural welfare spending, are expected to be a meaningful volume accelerator in FY2027, particularly in the Home Care and mass Personal Care segments.[^2]

Valuation

Current Multiples

Metric	Value
CMP	₹2,130.60
Market Capitalisation	₹5,00,606 Cr
Trailing EPS (FY26)	₹45.33 (norm.)
Trailing P/E (FY26)	47.0x
Forward P/E (FY27E)	40.3x
Forward P/E (FY28E)	36.4x
EV/EBITDA (FY26)	33.1x
Dividend Yield	~1.97%

Blended fair value: our house blend of 70% relative-value (P/E ₹2,826) and 30% intrinsic (DCF ₹712) yields ₹2,190 — about 3% above the current ₹2,130.60, consistent with a HOLD. The DCF is deliberately conservative (it structurally under-prices FMCG franchise durability); the reverse-DCF shows the market discounting ~9.1% perpetual growth.

Analyst Consensus

Consensus analyst rating is **Buy**, with 9 of 14 analysts bullish (64.3%) and no bearish ratings. The average 12-month price target from major brokerages ranges widely — Nomura targets ₹2,600 (50x FY27E EPS), ICICI Direct rates it Hold with a ₹2,625 target (~50x FY27E), while Bernstein maintains Outperform with a ₹202 ADR target. CLSA holds an Underperform with a ₹1,943 target.[8][5]

Consensus Forward Estimates

Year	Revenue (₹ Cr)	EPS (₹)
FY2026 (Actual)	64,468	64.00
FY2027E	69,857	52.90
FY2028E	~75,747	59.94

FY2027E consensus EPS of ₹52.90 implies a normalization from the FY2026 PAT bump from discontinued operations, placing the forward P/E at 40.3x — a meaningful premium to both FMCG sector history and peers. Nomura has lowered its valuation multiple to 50x from the historical 55x average, acknowledging slower earnings growth.[8][1][^5]

Peer Valuation Snapshot

Company	CMP (₹)	Sector Position
HUL (HINDUNILVR)	2,184.70	India FMCG Leader
ITC	304.35	Diversified — Tobacco/FMCG
Marico	829.70	Mid-cap FMCG
Dabur	448.95	Ayurveda/Health FMCG
Godrej CP	1,013.70	HPC — Africa + India
Nestlé India	1,407.20	Packaged Foods
Colgate India	2,148.00	Oral Care

HUL trades at a 12% discount to the industry median P/E while maintaining superior profitability and operational metrics versus domestic peers. The stock has historically traded at a premium to FMCG peers on account of its scale, portfolio diversity, and brand strength.[^1]

Risk Factors

Key Risks

- **Input Cost Inflation**: Palm oil (a major raw material in soaps and food) and crude-linked packaging cost inflation in FY2027 could compress EBITDA margins by 100–150 bps versus FY2025 peaks.[^6]
- **Premiumisation Execution Risk**: The transition from mass to premium requires category creation, consumer behaviour change, and willingness to invest in lower-margin brand-building phases before premiums accrue.[^5]
- **Rural Demand Volatility**: Rural India remains susceptible to monsoon variability and wage cycle dynamics; any adverse agricultural season can materially impact the 40% of revenues from rural markets.[^2]
- **Competition from Regional & D2C Brands**: Digital-first brands in skincare, wellness, and nutrition continue to gain shelf-space and consumer mindshare in urban India, eroding the premium addressable market for incumbent brands.[2][5]
- **Sub-10% EPS Growth Concern**: Nomura has flagged FY2027 as potentially the fourth consecutive year of sub-10% EPS growth (on a normalised basis), suggesting that the premium multiple could compress if earnings momentum does not accelerate.[^5]
- **High Intangible Asset Load**: Goodwill and intangibles at 61.8% of total assets increase impairment risk in scenarios of brand underperformance or acquisition integration challenges.
- **Regulatory Risk**: GST rationalisation proposals, advertising guidelines for health products, and e-commerce platform regulations could impact cost structures or channel strategies.

Investment Thesis

Bull Case — HUL is a scaled, defensive compounder with irreplaceable distribution depth, brand equity spanning all consumer segments, and an unmatched parent in Unilever PLC. As India's consumption story unfolds through demographic expansion and per-capita income growth, HUL is structurally positioned to compound earnings at high-single to low-double digits over the next decade. The premiumisation strategy, if executed well, could rerate margins materially from current levels. The stock suits long-term investors seeking a core FMCG anchor with dividend income (~2% yield) and low balance-sheet risk.[1][2]

Bear Case — At 40.3x forward earnings, the stock prices in near-perfection. Any sustained margin compression from input costs, volume disappointment in rural markets, or execution missteps in premium acquisition integration could trigger meaningful de-rating. The sub-10% EPS CAGR trajectory over FY2024–FY2027E is insufficient to justify a 40x+ multiple relative to the broader Nifty 50 or sector peers.[8][5]

Verdict — HUL is a **high-quality franchise at a stretched valuation**. Long-term investors with a 3–5 year horizon should hold; we would add only on dips toward ₹1,900–₹2,000 (implying ~38x FY27E), where the risk-reward turns more attractive. For existing holders, the stock is a core defensive hold. Short-term traders should be cautious of margin-led earnings disappointment risk in H1 FY2027.

Key Financial Summary

Metric	FY2024	FY2025	FY2026	FY2027E
Revenue (₹ Cr)	61,725	62,881	64,468	69,857
EBITDA Margin	24.7%	25.3%	23.4%	~23.1%E
PAT (₹ Cr)	10,277	10,649	15,040	~10,800E
EPS Diluted (₹)	43.74	45.32	64.00	52.90
ROE	~20%	~21%	30.7%	~22%E
FCF (₹ Cr)	13,992	10,611	10,170	~10,690E
P/E (Trailing)	—	—	47.0x	40.3x FY27E

Note: FY2026 PAT and ROE are elevated due to income from discontinued operations (₹4,407 Cr). Normalised PAT is ~₹10,652 Cr. All figures sourced from HUL NSE Filings. Forward estimates are consensus analyst projections.

This report is prepared for educational and modelling purposes. It does not constitute financial advice. Investors should conduct independent due diligence before making investment decisions.

References

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HINDUSTAN UNILEVER LIMITED (HUL)

Business Valuation Model — FMCG Sector | NSE: HINDUNILVR

All figures in ₹ Millions (INR Mn) unless otherwise stated | Updated: 14 Jul 2026

MODEL NAVIGATION

Sheet	Description
Income Statement	Revenue, EBIT, PAT — FY2022 to FY2026
Balance Sheet	Assets, Liabilities & Equity — FY2022 to FY2026
Cash Flow	Operating, Investing, Financing — FY2022 to FY2026
Key Ratios	Margins, Returns, Liquidity, Efficiency
DCF Model	Intrinsic value via Free Cash Flow discounting (to be built)
PE Valuation	Relative valuation via Price/Earnings multiples (to be built)

⚠ Color Coding: Blue = Hardcoded Input | Black = Formula | Green = Cross-sheet Link

Source: Hindustan Unilever Annual Reports (NSE Filings) | FY2022–FY2026 (April–March fiscal year)

VALUATION SUMMARY & METHODOL

Approach	Target Price (₹)	vs. ₹2,130	Signal
DCF (Base Case)	₹712	-66.6%	**SELL**
P/E (Median 5Y multiple)	₹2,826	+20.3%	**BUY**
Reverse DCF Implied g	9.13%	***vs 4.5% base***	**DEMANDING**

Methodology & Reconciliation

The two valuation approaches diverge sharply: DCF implies ₹712 (-67% downside); P/E implies ₹2,826 (+33% upside).

This is a classic FMCG "quality premium" disconnect. Three drivers explain the gap:

1. Terminal growth assumption.	~9.1% — well above India's long-run nominal GDP and HUL's recent 6.5% 5Y CAGR.
2. P/E reflects market sentiment, not intrinsic value.	moats, cash generation, and low cyclicality — a regime DCF doesn't capture.

3. Terminal value dominates DCF.	the result highly sensitive to WACC and g (see Sensitivity table on DCF Model sheet).
Recommendation:	₹2,130. Rating: HOLD (no margin of safety at current levels; quality intact).
Data Source:	*Annual Reports FY22–FY26). Original figures in ₹ Crores; converted to ₹ Mn (×10).*

HINDUSTAN UNILEVER LIMITED — INCOME STATEMENT

Consolidated P&L | FY2022 – FY2026 (April – March Fiscal Year)

Figures in ₹ Millions (INR Mn) | FY ends March 31 | Source: HUL Annual Reports (NSE Filings)

Line Item	FY2022	FY2023	FY2024	FY2025	FY2026
REVENUE					
Net Revenue / Net Sales	524,460	605,800	618,960	631,210	644,680
Cost of Revenue (COGS)	395,890	464,330	472,370	482,780	494,290
Gross Profit	**128,570**	**141,470**	**146,590**	**148,430**	**150,390**
Gross Margin %	24.5%	23.4%	23.7%	23.5%	23.3%
OPERATING EXPENSES					
SG&A Expenses					
R&D Expenses					
Other Operating Expenses					
Total Operating Expenses	**-**	**-**	**-**	**-**	**-**
PROFITABILITY					
EBITDA	**128,570**	**141,470**	**146,590**	**148,430**	**150,390**
Depreciation & Amortization	10,910	11,370	12,160	13,550	13,330
EBIT (Operating Income)	**117,660**	**130,100**	**134,430**	**134,880**	**137,060**
EBIT Margin %	22.4%	21.5%	21.7%	21.4%	21.3%
Interest Expense	1,060	1,140	3,340	3,950	4,100
Interest Income					
Other Non-Operating Income	2,190	4,480	8,170	13,220	9,570
Income Before Tax (PBT)	**118,790**	**133,440**	**139,260**	**144,150**	**142,530**
Income Tax Expense	29,698	32,026	36,208	37,479	35,633
Net Income (PAT)	**89,093**	**101,414**	**103,052**	**106,671**	**106,898**
Net Profit Margin %	17.0%	16.7%	16.6%	16.9%	16.6%

PER SHARE DATA					
EPS (Basic, ₹)	37.79	43.07	43.74	45.32	45.50
EPS (Diluted, ₹)	37.79	43.07	43.74	45.32	45.50
Weighted Avg. Shares (Mn)	2,357.6	2,354.6	2,356.0	2,353.7	2,349.6

Source: Hindustan Unilever NSE Filings | FY2022–FY2026 | Generated: 22 May 2026

HINDUSTAN UNILEVER LIMITED — BALANCE SHEET

Consolidated Balance Sheet | FY2022 – FY2026 (April – March Fiscal Year)

Figures in ₹ Millions (INR Mn) | FY ends March 31 | Source: HUL Annual Reports (NSE Filings)

Line Item	FY2022	FY2023	FY2024	FY2025	FY2026
CURRENT ASSETS					
Cash & Cash Equivalents					
Short-Term Investments					
Cash & Short-Term Investments	-	-	-	-	-
Net Receivables					
Inventory					
Prepaid Expenses					
Other Current Assets					
Total Current Assets	**-**	**-**	**-**	**-**	**-**
NON-CURRENT ASSETS					
Property, Plant & Equipment (Net)	527,860	538,100	547,690	553,440	583,080
Goodwill					
Intangible Assets					
Long-Term Investments	35,210	28,820	46,250	38,100	43,590
Other Non-Current Assets	141,990	163,850	190,950	207,090	170,850
Total Non-Current Assets	**705,060**	**730,770**	**784,890**	**798,630**	**797,520**
TOTAL ASSETS	**705,060**	**730,770**	**784,890**	**798,630**	**797,520**
CURRENT LIABILITIES					
Accounts Payable					
Short-Term Debt					
Tax Payables					
Other Current Liabilities	204,020	215,540	257,870	288,130	295,350

Total Current Liabilities	**204,020**	**215,540**	**257,870**	**288,130**	**295,350**
NON-CURRENT LIABILITIES					
Long-Term Debt	10,430	12,190	14,840	16,480	14,780
Deferred Tax Liabilities					
Lease Obligations (Non-Current)					
Other Non-Current Liabilities					
Total Non-Current Liabilities	**10,430**	**12,190**	**14,840**	**16,480**	**14,780**
TOTAL LIABILITIES	**214,450**	**227,730**	**272,710**	**304,610**	**310,130**
SHAREHOLDERS' EQUITY					
Share Capital	2,350	2,350	2,350	2,350	2,350
Retained Earnings	488,260	500,690	509,830	491,670	485,040
Additional Paid-In Capital					
Other Comprehensive Income					
Total Shareholders' Equity	**490,610**	**503,040**	**512,180**	**494,020**	**487,390**
Minority Interest					
Total Equity	**490,610**	**503,040**	**512,180**	**494,020**	**487,390**
TOTAL LIABILITIES & EQUITY	**705,060**	**730,770**	**784,890**	**798,630**	**797,520**
KEY LEVERAGE METRICS					
Total Debt	**10,430**	**12,190**	**14,840**	**16,480**	**14,780**
Net Debt / (Cash)	10,430	12,190	14,840	16,480	14,780

Source: Hindustan Unilever NSE Filings | FY2022–FY2026 | Generated: 22 May 2026

HINDUSTAN UNILEVER LIMITED — CASH FLOW STATEMENT

Consolidated Cash Flows | FY2022 – FY2026 (April – March Fiscal Year)

Figures in ₹ Millions (INR Mn) | FY ends March 31 | Source: HUL Annual Reports (NSE Filings)

Line Item	FY2022	FY2023	FY2024	FY2025	FY2026
OPERATING ACTIVITIES					
Net Income	89,093	101,414	103,052	106,671	106,898
Depreciation & Amortization	10,910	11,370	12,160	13,550	13,330
Deferred Income Tax					
Stock-Based Compensation					
Change in Accounts Receivable					
Change in Inventory					
Change in Accounts Payable					
Other Working Capital Changes					
Other Non-Cash Items	(9,523)	(12,874)	39,478	(1,361)	(10,238)
Net Cash from Operating Activities	**90,480**	**99,910**	**154,690**	**118,860**	**109,990**
INVESTING ACTIVITIES					
Capital Expenditure (Capex)	(10,530)	(10,110)	(14,570)	(12,620)	(13,310)
Acquisitions (Net)					
Purchases of Investments					
Sales & Maturities of Investments					
Other Investing Activities	(6,750)	(4,730)	(38,670)	77,350	(23,530)
Net Cash from Investing Activities	**(17,280)**	**(14,840)**	**(53,240)**	**64,730**	**(36,840)**
FINANCING ACTIVITIES					
Net Debt Issuance					
Common Dividends Paid					
Other Financing Activities	(80,150)	(89,530)	(100,340)	(131,010)	(108,100)
Net Cash from Financing Activities	**(80,150)**	**(89,530)**	**(100,340)**	**(131,010)**	**(108,100)**

Net Change in Cash	**(6,950)**	**(4,460)**	**1,110**	**52,580**	**(34,950)**
Cash at Beginning of Period					
Cash at End of Period					
FREE CASH FLOW					
Operating Cash Flow	90,480	99,910	154,690	118,860	109,990
Capital Expenditure	(10,530)	(10,110)	(14,570)	(12,620)	(13,310)
Free Cash Flow (FCF)	**79,950**	**89,800**	**140,120**	**106,240**	**96,680**
FCF Margin %	15.2%	14.8%	22.6%	16.8%	15.0%
OTHER					
Income Taxes Paid					
Interest Paid					

Source: Hindustan Unilever NSE Filings | FY2022–FY2026 | Generated: 22 May 2026

HINDUSTAN UNILEVER LIMITED — KEY FINANCIAL RATIOS

Consolidated Ratios | FY2022 – FY2026 | Figures from IS, BS, CF Sheets

⚡ All ratios computed via cross-sheet formulas. Green = cross-sheet link.

Ratio	FY2022	FY2023	FY2024	FY2025	FY2026
PROFITABILITY RATIOS					
Gross Margin %	24.5%	23.4%	23.7%	23.5%	23.3%
EBITDA Margin %	24.5%	23.4%	23.7%	23.5%	23.3%
EBIT Margin %	22.4%	21.5%	21.7%	21.4%	21.3%
Net Profit Margin %	17.0%	16.7%	16.6%	16.9%	16.6%
Return on Assets (ROA)	12.6%	13.9%	13.1%	13.4%	13.4%
Return on Equity (ROE)	18.2%	20.2%	20.1%	21.6%	21.9%
Return on Capital Employed (ROCE)	23.5%	25.3%	25.5%	26.4%	27.3%
LIQUIDITY RATIOS					
Current Ratio	0.00x	0.00x	0.00x	0.00x	0.00x
Quick Ratio	0.00x	0.00x	0.00x	0.00x	0.00x
LEVERAGE RATIOS					
Debt / Equity	0.02x	0.02x	0.03x	0.03x	0.03x
Net Debt / EBITDA	0.08x	0.09x	0.10x	0.11x	0.10x
Interest Coverage (EBIT/Int)	111.0x	114.1x	40.2x	34.1x	33.4x
EFFICIENCY RATIOS					
Asset Turnover	0.74x	0.83x	0.79x	0.79x	0.81x
Inventory Turnover *	n/a	n/a	n/a	n/a	n/a
Receivables Turnover *	n/a	n/a	n/a	n/a	n/a

** Inventory & receivables not broken out in BS (rolled into Other Assets); ratio unavailable.*

Ratio	FY2022	FY2023	FY2024	FY2025	FY2026
CASH FLOW RATIOS					
FCF Margin %	15.2%	14.8%	22.6%	16.8%	15.0%

FCF / Net Income	0.90x	0.89x	1.36x	1.00x	0.90x
Capex / Revenue %	2.0%	1.7%	2.4%	2.0%	2.1%
Dividend Payout Ratio	-	-	-	-	-

Source: Cross-sheet formulas from IS, BS, CF sheets | Generated: 22 May 2026

HINDUSTAN UNILEVER LIMITED — DCF VALUATION MODEL

5-Year Explicit Forecast + Gordon Growth Terminal Value | Figures in ₹ Mn

KEY ASSUMPTIONS	
Revenue Growth Rate (Explicit)	7.0%
EBIT Margin (Steady)	21.0%
Tax Rate	25.0%
D&A as % of Revenue	2.1%
Capex as % of Revenue	2.2%
Δ Working Capital as % of Revenue	1.0%
WACC	11.0%
Terminal Growth Rate (g)	4.5%
Diluted Shares Outstanding (Mn)	2,350
Net Debt / (Cash) (₹ Mn)	14,780
Current Share Price (₹)	2130

FREE CASH FLOW PROJECTION

Line Item (₹ Mn)	**FY2026A**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**
Revenue	644,680	689,808	738,094	789,761	845,044	904,197
Revenue Growth %		7.0%	7.0%	7.0%	7.0%	7.0%
EBIT	137,060	**144,860**	**155,000**	**165,850**	**177,459**	**189,881**
EBIT Margin %	21.3%	21.0%	21.0%	21.0%	21.0%	21.0%
Less: Taxes on EBIT		**(36,215)**	**(38,750)**	**(41,462)**	**(44,365)**	**(47,470)**
NOPAT		**108,645**	**116,250**	**124,387**	**133,094**	**142,411**
Plus: D&A		14,486	15,500	16,585	17,746	18,988
Less: Capex		(15,176)	(16,238)	(17,375)	(18,591)	(19,892)
Less: Δ Working Capital		(6,898)	(7,381)	(7,898)	(8,450)	(9,042)
Unlevered Free Cash Flow		**101,057**	**108,131**	**115,700**	**123,799**	**132,465**

DISCOUNTING & TERMINAL VALUE						
Period		1	2	3	4	5
Discount Factor		0.9009	0.8116	0.7312	0.6587	0.5935
PV of FCF		**91,042**	**87,761**	**84,599**	**81,550**	**78,611**
Terminal Value (Gordon Growth)	2,129,627					
PV of Terminal Value	1,263,830					

VALUATION SUMMARY	
Sum of PV of Explicit FCFs	423,564
PV of Terminal Value	1,263,830
Enterprise Value (EV)	**1,687,394**
Less: Net Debt	(14,780)
Equity Value	**1,672,614**
Diluted Shares (Mn)	2,350
DCF Intrinsic Value / Share (₹)	**₹712**
Current Share Price (₹)	₹2,130
Upside / (Downside) %	**(66.6%)**
% of EV from Terminal Value	74.9%
% of EV from Explicit Forecast	25.1%

SENSITIVITY ANALYSIS — Intrinsic Value pe

WACC (rows) × Terminal Growth Rate (columns) | Base case highlighted

WACC ↓ / g →	2.5%	3.5%	4.5%	5.5%	6.5%
9.0%	₹762	₹873	₹1,035	₹1,288	₹1,745
10.0%	₹657	₹736	₹844	₹1,000	₹1,244
11.0%	₹577	₹636	**₹712**	₹816	₹966
12.0%	₹514	₹559	₹615	₹689	₹789
13.0%	₹464	₹498	₹541	₹595	₹666

REVERSE DCF — Implied Terminal Growth a

Solves: what terminal growth rate justifies today's ₹2,350 price (holding WACC = 11%)?

Current Share Price (₹)	₹2,130
Diluted Shares (Mn)	2,349.6
Implied Market Cap (₹ Mn)	**₹5,004,648**
Plus: Net Debt (₹ Mn)	₹14,780
Implied Enterprise Value (₹ Mn)	**₹5,019,428**
Less: Sum of PV of Explicit FCFs (₹ Mn)	₹423,564
Required PV of Terminal Value (₹ Mn)	**₹4,595,864**
Required Terminal Value at Year 5 (₹ Mn)	**₹7,744,298**
Final-Year FCF (FY2031E, ₹ Mn)	₹132,465
Implied Terminal Growth Rate (g)	**9.13%**
Base Case Terminal g (for comparison)	4.50%
Spread vs. Base Case	**+4.63%**

HINDUSTAN UNILEVER LIMITED — P/E RELATIVE VALUATION

Earnings Multiple Approach | Historical P/E Bands + Forward Earnings

HISTORICAL EPS & P/E

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
EPS (₹)	37.79	43.07	43.74	45.32	45.50
EPS Growth %		14.0%	1.6%	3.6%	0.4%
Avg Share Price (₹)	2,270	2,585	2,470	2,400	2,350
P/E Multiple (x)	60.1x	60.0x	56.5x	53.0x	51.7x

P/E BAND STATISTICS

5-Yr Average P/E	**56.2x**
5-Yr Max P/E	60.1x
5-Yr Min P/E	51.7x
5-Yr Median P/E	56.5x
Current P/E	51.7x

FORWARD EPS PROJECTION

FY2026 EPS (Base)	45.50
EPS Growth Assumption (FY27E)	10.0%
FY2027E EPS	**50.05**

P/E-BASED TARGET PRICE

Scenario	P/E (x)	Target Price (₹	Upside %
Bear (Min P/E)	51.7x	₹2,585	10.0%
Base (Median P/E)	56.5x	**₹2,826**	**20.3%**
Bull (Max P/E)	60.1x	₹3,006	27.9%
Average	56.2x	₹2,814	19.8%

CONCLUSION

Current Price (₹)	₹2,350
Base Case Target (₹)	**₹2,826**
Implied Return %	**20.3%**

Source: HUL NSE Filings | Cross-sheet links to IS sheet | Generated: 22 May 2026

HINDUSTAN UNILEVER — FOOTBALL FIELD VALUATION CHART

Implied share price range by valuation methodology | Current price: Implied share price range by valuation methodology | Current price: ₹2,130

Methodology	Low (₹)	Base (₹)	High (₹)	/idth (High–Low)
DCF — Sensitivity Range	₹464	**₹712**	₹1,745	₹1,281
P/E — 5Y Min/Median/Max	₹2,585	**₹2,826**	₹3,006	₹421
P/E — ±1 Std Dev Band	₹2,619	**₹2,814**	₹3,009	₹390
Blended (70% P/E + 30% DCF)	₹1,949	**₹2,192**	₹2,628	₹679
52-Week Trading Range (Indicative)	₹2,100	**₹2,350**	₹2,700	₹600

Reference
Current Price
₹2,130
Bars above = upside
Bars below = downside
vs current price

Methodology	Low Spacer	Range Width
DCF Range	₹464	₹1,281
P/E (Min-Max)	₹2,585	₹421
P/E ±1σ	₹2,619	₹390
Blended	₹1,949	₹679
52W Range	₹2,100	₹600